

A photograph of a narrow, cobblestone street in a historic town, likely Santo Domingo, Dominican Republic. The street is lined with colorful, multi-story buildings in shades of blue, yellow, and red. A large Dominican flag is flying from a balcony on the left. In the background, a tall, white church tower with a dome rises above the rooftops. The sky is blue with some clouds.

PAGERO

Country Compliance Report: Dominican Republic

Information class: Restricted



Country Compliance Report: Dominican Republic

Operational Report: 09 August 2023

Author: Cristobal Pizarro

Approved by: Enzo Fernández

Content

Introduction and document purpose	4
1. Terminology	5
2. General overview	7
3. E-invoice status	8
4. Before switching to e-invoices	9
4.1. IT registration	9
4.2. Process to switch to e-Invoicing	9
4.3. Outsourcing invoice issuance function	10
4.4. Outsourcing invoice receipt function	11
5. Document processing	12
5.1. Format and other technical requirements	12
5.2. Communication with DGII	12
5.3. Issuance and clearance process	13
5.3.1 Domestic documents	13
5.3.2 Cross-Border	14
5.4 Reception and validation process	15
5.4.1 Domestic documents	15
5.4.2 Cross-Border	15
5.5 AoR (response) process	15
5.6 DGII validations	16
5.7 Invoice presentation / copy	16
5.8 Distribution between taxpayers	17
5.9 Rectification process	17
5.10 Coexistence of paper and electronic invoices	18
5.11 Contingency invoicing	18

6	Document content requirements	20
6.1	Document types	20
6.2	Document numbering	20
6.2.1	Document numbering by the taxpayer	21
6.2.2	Additional document numbering.....	22
6.3	Indirect tax (ITBIS) rates.....	22
6.4	Mandatory IT invoice content	23
6.5	Simplified invoice.....	27
6.6	Rectification document.....	27
6.7	Optional content	28
7	Integrity & Authenticity (I&A).....	29
7.1	E-signature.....	29
7.2	E-signature validation.....	29
8	Document retention.....	31
9	Other transactional documents.....	33
10	Other requirements	34
10.1	Penalties.....	34
10.2	Public procurement.....	34
10.3	Indirect tax reports.....	34
11	Country-specific processing.....	36
11.1	Document issuance (AR) with Pagero.....	36
11.2	Document reception (AP) with Pagero.....	37
12	Closing statements.....	38
12.1	Confidentiality	38
12.2	Disclaimer.....	38
	Revision history.....	39



Introduction and document purpose

Pagero provides a Smart Business Network that connects buyers and sellers for automated, compliant, and secure exchange of orders, invoices, payment instructions and other business documents. With an open network and a wide range of value-added apps, Pagero helps businesses streamline their order-to-cash and purchase-to-pay processes while unlocking the full potential of accurate and reliable business data. All of this, regardless of location, industry, size or systems.

At Pagero, we believe that technology supports sustainability. That's why we are committed to helping businesses become 100% paperless, supporting resource efficiency, transparency and business continuity.

The main purpose of this country compliance report is to provide the reader with an in-depth analysis of the focus country's laws, regulations, and process with regards to e-invoicing and other trade documents. The analysis considers topics such as business requirements before switching to electronic invoices, e-document creation, e-document distribution, integrity and authenticity, and, finally, e-archiving.

This document guides how Pagero solutions support customers in the focus country to meet local regulations and serves as a supplement to Pagero General E-invoicing Process Description.



1. Terminology

This section outlines general and country-specific terminology for Dominican Republic, which will be used throughout the whole document.

Term	Explanation
AoR	<i>Es: "Aprobación Comercial"</i> . It is the response issued by the e-receiver on an e-CF informing both the e-issuer and DGII, of the approval or rejection of the invoice. AoR is sent as XML through a web service (WS) called "Commercial Approval Web".
Certified Service Providers	Certified service providers are those who follow the required steps by DGII to become accredited service providers and start issuing and receiving electronic invoices on behalf of customers. It is mandatory to follow these steps to be a Service Provider in Dominican Republic. The local name is " <i>Proveedores de Servicios de FE</i> ".
Commercial Free Zones	As stated in Law No. 4315, Commercial Free Zones have two essential objectives: to serve as a warehouse for foreign merchandise for re-export or for its introduction to national territory (Commonly done by companies in Industrial Free Zones); and, offer foreign merchandise to tourists at good prices, duty-free, with the condition that they are immediately exported. The local names are " <i>Zonas Francas</i> " and " <i>Zonas Francas Comerciales</i> ".
DGII	<i>"Dirección General de Impuestos Internos"</i> , it is the tax authority administration of the Dominican Republic.
e-Issuer	Or Electronic issuer, is a taxpayer authorized by DGII to issue electronic tax documents. All electronic issuers are considered by DGII to also be capable of receiving e-invoices.
Electronic Tax Receipt (e-CF)	This name englobes all transactional electronic documents documenting the transfer of goods and/or services. The e-CF which can englobe e-government invoices, e-export invoices, e-tax invoices among other e-documents, has to always comply with the content requirements of Decree no. 254.06. The local name is " <i>Comprobante Fiscal Electronico</i> " or e-CF
INDOTEL	Dominican Telecommunications Institute, is the regulatory body for telecommunications and electronic commerce, documents and digital signatures, in accordance with Laws No. 153-98 General on

	Telecommunications and No. 126-02 on Electronic Commerce, Documents and Digital Signatures of the Dominican Republic, respectively.
ITBIS	Es. " <i>Impuesto sobre Transferencias de Bienes Industrializados y Servicios</i> ". It is the general value-added consumption tax applied to sale of goods or provision of services.
QR Code	The Quick Response code is meant to be placed on the lower left side of all RI ("Printed Representations"), and can be used to verify the validity of an e-CF.
Receipt Acknowledgement	It is an automatic response issued by the recipient of an e-CF to his issuer, which indicates that the e-CF was received by the electronic receiver. This will never imply an acceptance or rejection response regarding the commercial transaction.
Response number (TrackID)	Number-String generated by the DGII after e-CF receipt, which allows e-issuers of e-CFs to check the statuses of issued e-CFs (approved or rejected). The reception of the TrackID will never mean that the e-CF has been fiscally approved by DGII.
RI	Printed Graphic Presentation (es. " <i>Representación Impresa</i> ") of e-CF. The printed version must contain a QR code which will allow taxpayers to validate the corresponding e-CF. The printed version must be issued to non-electronic receivers. The buyer may receive the RI through email if consent is given.
RNC number	The National Taxpayers Registry is a tax identification number administered and assigned by the DGII. This code is used to identify taxpayers in the Dominican Republic.
Tax Invoice Number (NCF)	Es. " <i>Número de Comprobante Fiscal</i> ". In Dominican Republic, the invoice number is known as NCF for the paper-based operations, while in electronic operations is known as e-NCF. These invoice numbers must be authorized first by DGII, procedure which can be done through the Virtual Office.
Virtual Office (OFV)	It is the tax authority webportal where taxpayers can carry out tax procedures, instead of doing them in DGII offices. It can be accessed via DGII portal using the provisioned authentication mechanism.



2. General overview

This section provides an initial introduction into the local e-Invoicing environment within Dominican Republic, including the types of local e-invoice regulations, go-to governmental and industry bodies, and whether multiple invoicing regimes, that is, varying regulatory requirements, exist for example by industry, business size, or other defining factors.

Item	Commentary
Authorities and other agencies relevant for e-invoicing	General Directorate of Internal Taxes (DGII)
Main applicable legislation in respect of e-invoice issuance, exchange, reception and retention	Law 32-23: E-invoicing law General Norm N° 010: Certification procedures to become an e-service provider General Norm N° 06: Regarding tax Invoices, seeks to simplify administrative procedure General Norm N° 05: Regulates other type of e-invoices General Norm N° 01: regulates issuance e-CF Resolution N° 035: Procedures on electronic commerce, documents and digital signatures Informative Notice N° 24: New structure regarding electronic fiscal Invoices. General Norm 06-18: Rules regarding authorization to issue E-documents. General Norm 05-14: Establishes means of communication with DGII, info regarding OFV Law N° 173: Data protection Decree 254-06: Rules regarding printed invoice Tax Code (Law N°11-92)



3. E-invoice status

When considering sending or receiving e-invoices two basic questions should be considered: is invoice equal to paper invoice from the legal perspective; and if there are any situations where e-Invoicing is mandatory for reception or transmission.

Item	Commentary
E-invoice status	Currently, voluntary, but planned to become mandatory.
Varying invoicing regimes	Yes
e-Invoicing model	- Post-audit (soon ending) - Post-Clearance (starting in 2024)
e-Invoice definition	A document that supports the sale of goods and/or services generated, electronically signed, validated, received, and stored electronically.
Scope of taxpayers the e-document mandate applies to	Countrywide mandate, which applies to all taxpayers dealing with ITBIS (VAT). Phased roll-out timelines can be seen below
Mandatory AoR (document response) process	Mandatory
Implementation / roll-out plan	- Taxpayers shall follow the following timeline: - Large taxpayers - Group 1: 15 January 2024 - Group 2: 15 March 2024 - Group 3: 15 May 2024 - Big and medium locals - Expected around Q1 2025 - Rest of taxpayers - Expected around Q1 2026



4. Before switching to e-invoices

4.1. IT¹ registration

There is no registration threshold for ITBIS in the Dominican Republic. In other words, all businesses are automatically ITBIS liable. The following are ITBIS taxable persons:

- Individuals or business entities, whether domestic or foreign, that habitually supply industrialized goods as part of their industrial or commercial activities
- Individuals or business entities importing goods subject to ITBIS
- Individual or business entities rendering services subject to ITBIS

Scope of the tax:

- Supply/transfer of industrialized goods
- Importation of industrialized goods
- Leasing and rendering of services

Non-established businesses: a “non-established business” is a business that has no fixed establishment in the Dominican Republic. The Dominican tax law does not provide a mechanism for the withholding of the ITBIS from non-established businesses. Consequently, a non-established business must register to pay ITBIS to DGII if it supplies goods or services in the Dominican Republic. Once registered with DGII, the entity will be considered domiciled for fiscal purposes and will have to comply with all tax duties and obligations as if it were a formal established entity. To register for ITBIS, a non-established business must register with the Chamber of Commerce and DGII.

4.2. Process to switch to e-Invoicing

Even though many countries encourage or even mandate e-Invoicing, there may be specific requirements on the Trading parties – typically the Supplier – before starting an e-Invoicing program. This section provides a brief overview of such requirements.

¹ For the purpose of this document, IT refers to Indirect Tax, including, but not limited to Value-Added Tax (VAT), Goods and Sales Tax (GST), Sales tax, etc.

Item	Commentary
Actions towards authorities, required in order to enable electronic processing instead of conventional processing	The following requirements apply to become an e-issuer: • To be registered in the RNC • To be registered as a taxpayer. • Not have any tax or duty debts. • Complete the Authorization Request Form FI-GDF-016 ("<i>Formulario de Solicitud de Autorización</i>") through OFV • Have a digital certificate for tax processes • Comply with technical requirements established by DGII. • Successfully pass the certification process to start issuing e-CF. • Comply with the provisions in General Norm no. 06-2018
Actions between the trading partners, e.g. customer acceptance, agreement, etc.	• No explicit actions required
Transition period from the moment of starting e-invoicing during which, e.g. parallel invoicing may be allowed	• No • However, a Human readable invoice (RI) containing a QR code must be delivered to non-electronic receivers.

4.3. Outsourcing invoice issuance function

Many companies decide to outsource the issuance process of e-invoicing to third parties who have the necessary infrastructure and knowledge of implementing and executing e-Invoicing. This may be driven by a technical limitation or local regulatory requirements. However, before doing so, it is highly recommended that a supplier investigates whether such outsourcing is permissible and whether any requirements must be fulfilled.

Item	Commentary
Whether outsourcing of invoice issuance (creation) is allowed or not	• Allowed, both legal and technical outsourcing
Whether statement of outsourced issuance is required on the invoice	• No explicit requirements
Whether outsourcing agreement is required between the taxpayer and the third-party is performing actions on its behalf	• Not specified, but it is strongly recommended
Content and formality requirements to the Outsourcing agreement between the taxpayer and the third-party	• N/A
Whether any notifications to or derogations from authorities are required in the specific jurisdiction for outsourced issuance	• Notification needed. When registering in OFV, the e-issuer must specify details of the service provider in use.

Whether, and which, requirements exist to the outsourced party to be able to act on behalf of the taxpayer

- Yes, to become a certified service provider by the DGII ("*Proveedor de Servicios de FE*")
- Before sending a request to be a certified SP, it is important to fulfill the following requirements:
 - Complete the certification process with DGII to be an e-issuer
 - Having three (3) taxpayers successfully certified as e-issuers
 - Have registered the commercial activity related to sales and/or development of IT apps
 - Be up to date with all fiscal liabilities.
- After fulfilling the requirements, a form shall be completed and sent to DGII (Form FI-GDF-016)

4.4. Outsourcing invoice receipt function

Due to the unique nature of the AP process, it may be required for the buyer (invoice receiver) to have an explicit agreement, or other permissions to be put in place for Service Providers to conduct invoice receiving functions on behalf of them.

There are no explicit requirements in Dominican Republic regarding outsourcing the invoice receipt function (similar to the function to issue invoices as outlined above).



5. Document processing

5.1. Format and other technical requirements

Globally, a multitude of e-Invoicing formats and infrastructures exist. Local regulators often offer or mandate the use of certain formats, standards, or platforms for the transmission or delivery of invoices or other tax-related documents. Pagero has the technical depth and experience to support country-specific technical requirements globally.

Item	Commentary
Mandated document format(s) for exchange with mandated Gov platform(s) and/or between the trading parties	• Local XML format
Other document format(s) commonly used for exchange between trading parties	• Printed Graphic Representation (RI), if recipient is not electronic issuer.
Mandated platform(s) required to have connection with for e-document processing	• DGII
Other platform(s) relevant for e-document processing	• N.a.
Schematron(s), XSD schema or other official mechanism ensuring document content.	• XSD schema is available here
Routing ID's / codes or other identifiers used in the jurisdiction for counter-party identification and document exchange	• Email address
Other technical aspects	N.a.

5.2. Communication with DGII

Regulations in the Dominican Republic foresee the following options on how e-documents can be communicated with the mandatory infrastructure(s):

Communication options	Commentary
Automated	Web services (WS) with authentication
Manual	For small taxpayers, DGII allows to issue and receive e-CF through their free platform
Other options	N/A

5.3. Issuance and clearance process

This section describes the document issuance and clearance process from the supplier perspective.

5.3.1 Domestic documents

This section describes the process for documents created to be transmitted within the given country.

- 1) **The supplier** generates the e-CF in local XML format according to the required content requirements, applies e-signature and forwards the file to DGII via WS – e-CF Reception (Sp. *Recepción e-CF*)
 - a. DGII WS performs authentication of the taxpayer and when successful, delivers a token to generate a session that will last for a period of one hour. The issued token will be required for any communication with DGII throughout the whole session it's valid.
- 2) **DGII** upon reception of the XML – will issue and provide back a **trackId**, which can be used by the issuer to check the status of the document.
 - a. The trackId will be provided to the issuer “within seconds”.
- 3) **The supplier** is allowed to send e-CF to the buyer only after the reception of trackId, but is not required to await final approval of the e-CF.
 - a. The supplier can check the status of e-CF using trackId via WS called Consultation of Result of e-CF (“*Consulta de Resultado de e-CF*”)
 - b. There is no amount of time established by DGII to send the e-CF to the buyer, once the supplier has received the trackId
- 4) **DGII** – after issuance of trackId – will execute clearance (validation) of the received e-CF
 - a. According to DGII, the clearance response should be ready within “minutes” after the supplier has received the trackId
 - b. The supplier is the one who will need to consult directly through the available WS the outcome of clearance by DGII (Consultation of Result of e-CF)
 - c. The outcome of clearance by DGII can either be positive or negative
 - i. **If positive**, then the issued e-CF obtains fiscal/legal validity. No further actions from the issuer are required.

- ii. **If negative**, then the issued e-CF does not obtain fiscal/legal validity. The issuer has to rectify the error and resubmit it to DGII using a new e-NCF (When the rejection is due to invalid digital certificate the same invoice number may be used).

5) Buyer – The buyer will receive the e-CF from the supplier, and will send a mandatory acknowledgment of receipt to the supplier stating that the e-CF was received, and after that, a mandatory acceptance or rejection business response to that specific e-CF.

Generally, taxpayers wait for the clearance response from DGII before exchanging the e-CF with the buyer, even though doing this is not strictly mandatory.

5.3.2 Cross-Border

This section describes the requirements for cross-border outbound documents such as sales invoices.

The general rule in Dominican Republic when exporting:

- The exported services will be sustained with **consumption receipts**
- The exported goods will be sustained with **export invoices**

Among the e-CF options, the Electronic Invoice for Exports ("*Comprobante electrónico para exportaciones*") must be used by taxpayers when:

- Reporting sales of goods outside the national territory,
- By companies in free zones or commercial free zones ("*zonas francas*"),

The following cases are examples of when to issue the correct types of e-CF depending on the different scenarios:

- Companies belonging to Industrial Free Zones provisioning goods to the local market must issue invoices with an invoice number (NCF) for exports, disclosing the amount of the goods **without including the ITBIS and/or ISC**.
- Companies belonging to Industrial Free Zones provisioning services to the local market must issue standard invoices using a valid NCF for tax credit, with the price of the service and the ITBIS and/or ISC transparent, when applicable.
- Companies belonging to Commercial Free Zones located in hotels and tourist centers, these ones must issue e-export invoices when transferring goods to **non-residents** (The passport and flight ticket must be shown for confirming the effective date of departure from Dominican territory)
- Companies belonging to Commercial Free Zones located in ports and airports must issue e-export invoices when transferring goods to **residents and non-residents** (The passport and air ticket must be presented for confirming the effective date of departure from Dominican territory).

The sales of good done abroad supported with e-export invoices must be submitted in accordance with "Form 607" for "Remittance of sales and operations". Go to [section 10.2](#) to see more information regarding form 607 and indirect tax reports

5.4 Reception and validation process

This section describes the document reception, validation and acceptance processes from the buyer perspective.

5.4.1 Domestic documents

This section describes the process for documents received for purchases or transactions within the given country.

The **buyer can optionally verify the validity** of the received e-CF with DGII (the process of “validation”) via WS, DGII webpage or Mobile App provided by DGII. In order to validate such e-CF, the buyer has to query DGII with the following values:

- e-NCF
 - Issuer’s RNC
 - Buyer’s RNC
- 1) When using WS option to verify the 2-CF, the following responses are possible:
- a. **Not Found:** DGII did not found the e-CF, one of the reasons may be that it was not reported by the issuer
 - b. **Accepted:** The e-CF generated by the issuer was accepted and is valid for fiscal purposes
 - c. **Rejected:** The e-CF was rejected and is not valid for fiscal purposes.

5.4.2 Cross-Border

This section describes the requirements for cross-border inbound documents such as purchase invoices.

There is no requirement for the transmission of inbound cross border invoices In the Dominican Republic. Those invoices will pass through customs (“*Dirección General Aduanera*”) through a form called DUA (“*Declaración Unica Aduanera*”), all this together with the corresponding shipping documents and certificates.

5.5 AoR (response) process

The buyer is required to generate an **Acknowledgment of Receipt** (ARECF). Indicating that the e-CF was received by the Electronic Receiver. This does not imply an acceptance or rejection from the commercial perspective.

- The ARECF is an automated answer sent by and e-receiver as soon as this one receives an e-CF from the e-issuer.
- The ARECF must be sent by the buyer independently if there is or not a clearance response from DGII regarding the corresponding e-CF.
- The ARECF must be sent only to the supplier, no need to send it to DGII.

The buyer must generate **Commercial Approval or Rejection (ACECF)** for the received e-CF. There is no explicit time limit stated by DGII to send this commercial response to the supplier

- 1) The buyer, when generating AoR, must follow the same process as the supplier, when generating e-CF, with the only difference that WS Approval Reception ("*Recepción de Aprobación Comercial*") is used.
- 2) The DGII will respond to the buyer with one of the following statuses:
 - a. **Commercial Approval Approved**, or
 - b. **Commercial Approval Rejected**.

If the buyer chooses to make use of the WS Commercial Approval and Rejects the corresponding e-CF, then the issuer will have to issue another e-CF **using a new e-NCF**.

In the event that the e-receiver does not send the Commercial Approval, the e-CF will be understood as accepted when it is included in the **Form 606** (Costs and Expenses Submission Form) by the receiver. To know more about Form 606 (indirect tax report), go to [section 10.2](#)

5.6 DGII validations

DGII will perform the following types of validations on e-CF:

- Prove the validity of the digital certificate used to sign the e-CF
- Format validation, check if the received XML format complies with the required format by DGII.
- Send back an automated acknowledgment of receipt to the e-issuer containing a trackId. This response will be received as soon as DGII receives the submitted e-CF from the taxpayer.

Upon clearance, DGII will return one of the following responses when being consulted by the issuer with trackId:

- **In Process**, meaning that DGII is still carrying out validations and to know the outcome, it must be consulted again later,
- **Accepted**, meaning that the e-CF was given fiscal validity,
- **Accepted Conditionally**, meaning that the e-CF was given fiscal validity, but there are irregularities, which should be resolved / not occur in the future e-CF's submitted to DGII,
- **Rejected**, meaning that the e-CF was not given fiscal validity by DGII and it cannot be used by the trading parties.

5.7 Invoice presentation / copy

Invoice presentation (RI) is not required among e-taxpayers; but is mandatory towards non-electronic buyers. Besides that, a printed graphic presentation (RI) must accompany all transported goods.

Besides having the same content as e-CF, the RI must include a QR code.

The QR code incorporates the following additional information:

- Status of the e-CF, which can take any of the three (3) following values:
 - **Accepted:** The RI is valid for fiscal purposes, even if this one was accepted conditionally.
 - **Rejected:** The issuer's RI was rejected
 - **E-CF not found:** The e-CF was not found in DGII's database.
- Below the QR code, the taxpayer will be able to find a security code that will consist of 6 digits. These 6 digits corresponding to the first 6 digits created by the hash of the electronic signature will be necessary to check the validity of the RI. This code, like the QR code, will be present only in RI.

5.8 Distribution between taxpayers

This section explains how and if trading parties can send invoices between each other. In some cases, hubs also distribute the tax document to the buyer.

Electronic invoices will be sent through electronic applications connected to the Internet both to the DGII and to the electronic recipient (Email provided by the recipient), in an extensible XML markup language file.

The XML format will have a graphic Representation of the e-CF, which will be delivered exceptionally to those non-electronic recipients or recipients in contingency, so that they can prove and report their purchased transactions to the DGII and third parties, as well as support credit tax or consumption.

5.9 Rectification process

In general, corrections to an e-CF will be made only through the use of electronic **Credit or Debit Notes**, as applicable. Explicitly:

- If e-CF is rejected by the recipient via Commercial Approval process, the e-issuer must cancel the invoice by sending a Credit Note to both DGII and the receiver, indicating the reason for the cancellation.

However, an **e-NCF Cancellation** (ANECF) must be issued, if e-CF has been digitally signed, but not yet sent to the DGII nor the recipient. The same cancellation process may be used to cancel unused sequential series. In both scenarios, it is the e-CF number that is being cancelled and not the e-CF itself.

If e-CF is approved by the recipient, but rejected by DGII, both the e-CF and the Commercial Approval will be considered invalid. The issuer will not have to issue a Credit Note, but instead a new e-CF (with new e-CF number), which will replace the one delivered previously.

5.10 Coexistence of paper and electronic invoices

During the phase of voluntary e-issuers will be able to send to their buyers both e-CF and RI. If the recipient is non-electronic, a printed representation of the e-CF (RI) and physical delivery of this one is required.

The tax invoices may be printed by:

1. the issuers of the invoices using commercial computer billing applications, basic office tools or through other technological means
2. through printers or graphic establishments authorized by the DGII, or
3. by cash registers in cases where the type of invoice allows it.

The three cases stated above will require no matter the situation, authorization from DGII for printing tax invoices.

When a natural or legal person wishes to issue and print their own fiscal tax invoices, they must express such condition when requesting the corresponding authorization from DGII. In all cases, the printing method used must be expressly stated, as well as the computer application that will be used, if any, including the case of those tax invoices that, because they are delivered to final consumers, do not have a tax credit value.

The request of authorization towards DGII for printing invoices must include at least the following data:

- Name from the issuer, as appearing in RNC,
- Commercial name, if applicable,
- RNC number,
- Invoice issuance spot (address where issuer issues invoices)
- Type of invoice required to issue and print
- Number of planned invoices for issuing and printing,
- Specify if printing will be performed by the taxpayer directly or outsourced with a printing company.
 - In case of outsourcing, the third party has to be selected from an updated Printing Registry List ("*Registro de Imprentas y Establecimientos Graficos Autorizados*") authorized by the DGII.

DGII will provide a response to such authorization request within 10 working days.

5.11 Contingency invoicing

This refers to the process when issuance and exchange of e-invoices is not possible due to certain technical reasons.

Dominican Republic has the following **states of contingency**:

- No connection. If it is not possible to send the e-CF to DGII through the WS due to no Internet connection (due to DGII problems), the taxpayer will have to continue issuing e-CF normally and exchange them with the buyer. Once the connection

with DGII is reestablished, all those e-CF issued during the lack of connection with DGII, will have to be sent to them.

- Not possible to issue e-CF. When the issuance of e-CF is not possible due to technical problems from taxpayers side, the series B sequences must be used only during contingency state (to know more about series B sequences, go to [section 4.1](#)). When the inconvenience is solved, the issued series B invoices must be replaced for those of series E by issuing electronic debit or credit notes.

The affected parties should give an **immediate notification** of contingency state:

- DGII will notify all taxpayers of the contingency via their established channels
- There is a WS available for taxpayers to consult the status of the e-invoicing services called - Consult Status of Services.
- Taxpayers have to notify of contingency through the contingency module available in OFV or by communicating with the taxpayer service center, where the situation and **type of contingency** will have to be reported.
 - Total contingency. A system failure that affects the total operation of the taxpayer. The taxpayer will need to indicate the starting date and the reason for the contingency. This state will be automatically deactivated when the DGII receives the first e-CF after the state of contingency was declared, or when the taxpayer informs that the failure was fixed.
 - Partial contingency. A system failure that affects only one part of the taxpayer operations, for instance when one or several branches or businesses units are not able to issue electronically, but the rest of the branches or business units can continue operating as usual with e-invoicing.



6 Document content requirements

6.1 Document types

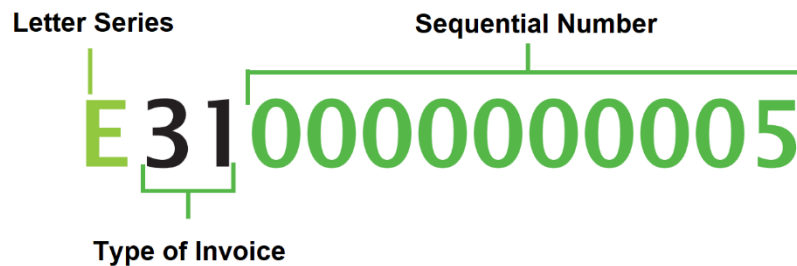
Item	Commentary
Documents mandatory for issuance by supplier	These following e-documents are all the possible e-CF's that a taxpayer can issue: • 31: Electronic Tax Credit Invoice ("<i>Factura de Crédito Fiscal Electrónica</i>") (ECF) • 32: Electronic Consumption Invoice ("<i>Factura de Consumo Electrónica</i>") • 33: Electronic Debit Note ("<i>Nota de Débito Electrónica</i>") • 34: Electronic Credit Note ("<i>Nota de Crédito Electrónica</i>") • 41: Electronic Purchases ("<i>Compras Electrónico</i>") • 43: Electronic Minor Expenses ("<i>Gastos Menores Electrónico</i>") • 44: Electronic Special Regimes ("<i>Regímenes Especiales Electrónico</i>") • 45: Electronic Governmental ("<i>Gubernamental Electrónico</i>") • 46: Electronic Export ("<i>Exportación Electrónico</i>") • 47: Electronic Payments Abroad ("<i>Pagos al Exterior Electrónico</i>")
Documents mandatory for issuance by buyer	• Mandatory, Receipt Acknowledgment (ARECF) • Optionally, Commercial Approval or Rejection (ACECF)

6.2 Document numbering

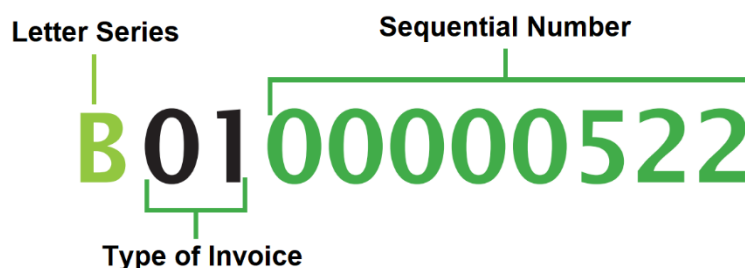
This section outlines the requirements to the sequential numbering of invoices and, where applicable, other documents.

Dominican Republic has two type of invoice numbers, one that is only used for electronic purposes, and another one used only for paper-based purposes.

The electronic and paper-based invoice numbers (e-NCF and NCF respectively) will have the following structure:



1. **Letter Series:** for electronic issuers, the invoice numbers will always start with the letter E as shown above in the image. While for paper-based invoice numbers, they will always have to start with the letter B as shown down in the image.
2. **Type of Invoice:** It is composed always by two numbers, which will indicate the type of invoice which electronic and non-electronic issuers are issuing.
3. **Sequential number:** The length of this number will be different when issuing electronic invoices than paper based. The electronic invoices will be composed of ten (10) numbers, while the paper-based only of eight (8).



6.2.1 Document numbering by the taxpayer

Item	Commentary
A sequential number, based on one or more series, which uniquely identifies the invoice	• Yes • The sequence of the e-CF has a structure of thirteen (13) alphanumeric positions. • The alphanumeric sequence (e-NCF) must be requested first to DGII. For doing this the taxpayer must request it in his virtual office (OFV), specifically in the <i>requests</i> menu ("<i>Solicitudes</i>"), and then press <i>procedures</i> option ("<i>Tramites</i>") • The e-NCF sequence requested will be valid only for the type of e-CF requested • According to DGII, the response time for this virtual request can take 24 hours approx. • If the e-NCF sequence requested is rejected by the Virtual Office, the taxpayer must go

	to the corresponding local Administration for verification purposes. • The letter E corresponds to the series of electronic invoicing (e-CF), the following two digits identify the type of e-CF and the last ten corresponds to the sequential. • The sequential will be valid from the authorization date until the 31 December of the following year.
Different series of sequential numbers allowed (e.g. a separate sequential numbering for intercompany billings, credit notes, etc.)	• Yes
Allowed to start a new sequential numbering every year	• Yes
Required that the numbers follow the date of issuance (i.e. is it true that an invoice with number 2 cannot have an invoice date older than the invoice with number 1)	• Yes

6.2.2 Additional document numbering

This section must describe any additional numbering, also provided by the tax authority or that must be generated by the taxpayer based on specific specifications.

There is no additional numbering requirement to those already mentioned above.

6.3 Indirect tax (ITBIS) rates

This section illustrates the applied IT² rates and provides a non-exhaustive list with examples of goods and/or services that fall within specific IT rates. IT rates that differ between different administrative units are clearly outlined.

The ITBIS³ is a general value-added consumption tax that is applied to the transfer and import of industrialized goods, as well as to the provision of services.

Indirect tax rates		
18%	General	Everything what is not reduced, zero or extent, will be subject to the ITBIS.
16%	Reduced	Yogurt and other dairy derivatives, coffee, butter, margarine and oils, powdered cacao (with or without sugar) and unfilled cacao bars, sugar.
5%	Reduced	Residential electricity supply

² For the purpose of this document, IT refers to Indirect Tax, including, but not limited to Value-Added Tax (VAT), Goods and Sales Tax (GST), ITBIS, Sales tax, etc.

³ ITBIS, "Impuesto sobre Transferencias de Bienes Industrializados y Servicios", in other LATAM countries might be called IVA.

0%	Zero	Exportation of goods
	Exempt	Live animals, fresh, refrigerated or frozen meat, fish for consumption or reproduction, milk, eggs and honey, non-processed fruit for massive consumption, cocoa, chocolate and some grains and cereals, certain types of medicines, certain types of books and magazines, education services, including theater, ballet, opera and dance, health services, electricity, water and garbage collection services, financial services (including insurance)

The ISC is the Selective Consumption Tax (an excise tax) that is levied on certain types of nationally produced goods at the manufacturer level, imported goods, provision or location of certain services.

Indirect tax rates	
20%	For tobacco products
10%	For alcohol products
0,15%	Per transaction for financial operations
10%	Telecom services
16%	Insurance services in general
16%	Fuel

6.4 Mandatory IT invoice content

The section below illustrates the minimum legal requirements related to the content of invoices issued according primarily to the indirect tax regulations of Dominican Republic. Please note that other additional content requirements might apply in addition, i.a. of technical character.

General	
Required to mention the word "invoice"	• Yes
Required that the invoice is issued in the language of the country who is entitled to impose the invoice requirements:	• Yes
Sequential numbering	• Yes, you must place the authorized sequence by DGII of the electronic fiscal invoice number (e-NCF), as appropriate. See section 6.2.1
Required to mention copy or duplicate in case a copy is issued	• Yes
Reference in case of outsourced issuance	• No explicit requirements

Supplier Data	
Full legal name of the supplier	• Yes

Allowed to abbreviate or shorten the legal name of the supplier	No
Full address of the supplier in country of establishment	Yes, operations address.
Allowed to mention the PO box address instead of the legal address of the supplier	No
IT identification number/sales tax number from the supplier in the country where the supply takes place for IT purposes	Yes
IT identification number of the supplier in the country of establishment	No
Information (i.e. name, address, IT number) of the fiscal representative of the supplier (if appointed)	No
Legal form of the supplier	No
Trade register number of the supplier	Yes. The issuer has a unique identification number called RNC ("Registro Nacional de Contribuyentes")
Company Registry data of the supplier (e.g. court registration, address of chamber of commerce)	No
Place of legal seat of the supplier (Headquarters)	Yes, corresponds to the office/branch name that issues the e-CF
Other supplier data	No

Customer data	
Full legal name of the customer	Yes
Allowed to abbreviate or shorten the legal name of the customer	No
Address of the customer in country of establishment	Yes
Bill-to address when it is different from the registered address of the customer	Yes
Allowed to address the invoice to a Post Office Box address instead of the legal address of the customer	No
IT identification number in the country where the supply takes place for IT purposes in case of domestic supplies (if available)	Yes
IT identification number of the customer in the country of dispatch for invoices issued for exempt export supplies	No

IT identification number of the customer in another Member than the Member State of dispatch for intra-Community supplies	N/A
Information (i.e. name, address, IT identification number) of the fiscal representative (if customer has appointed a fiscal representative)	No
Other customer data	No

Transaction data	
Date of issue	Yes
Date of supply (chargeable event)	Yes. Matches with the date of delivery
Date of prepayment	No
Description of the goods/services	Yes. Description, Unit of Measurement, Alcohol Degrees in % (if applicable), Retail Price (if applicable).
Quantity of the goods supplied or the extent of the services supplied	Yes
Purchase order number	Yes
Shipped to location (for the supply of goods)	Yes. Specifically for e-export invoice.
Status of the goods (e.g. in bond, in free circulation)	No
Incoterms	Yes. Specifically for export.
Other information on the supplied goods/services required (except in case of intra-Community supply of new means of transport)	No

Financial data	
Taxable base per item (unit price excl. IT)	Yes. This would be the ITBIS
Total taxable base per IT rate or exemption	Yes
IT rate applied	Yes
Total IT amount calculated per rate	Yes
Total IT amount payable	Yes
Discounts/rebates if not included in the unit price	Yes
Total gross amount (including IT)	Yes
Mandatory to mention the total IT amount due in the national currency	Yes
Which other amounts (i.e. none, only the total IT amount) must be mentioned in the national currency of your country	None

Exchange rate (if the invoice is not issued in the local currency)	• Yes • Conversion utilized.
Which exchange rate must be applied in order of priority	• The exchange rates established by the Central Bank of the Dominican Republic, for the established period.
Terms of payment	• Recommended
IBAN and BIC number of supplier (Bank account)	• Recommended

Specific references for invoices	
Invoice reference in case of IT exemption or reverse charge	• Yes
List the required references in case of exemption or reverse charge	• All e-CF's, including printed representations (RI), must state in each item the tax level rate or if exempted.
Allowed to refer to the appropriate provision in Directive 2006/112/EC for: - "reverse charge" for supplies subject to a reverse charge mechanism; - "supply is taxable in the country of the recipient" for B2B supplies of services; - "exempt intra-Community supply - article 138 VAT Directive"; - "Exempt export - article 146 VAT Directive"; - "simplification for triangular sales - article 141 VAT Directive - "Transfer of own goods- article 17 VAT Directive"?	• N.a
Required to specifically mention 'margin scheme - travel agencies', 'margin scheme - second hands goods', if applicable	• No
Reference required if the transaction takes place outside the EU as a result of the Use and enjoyment provisions	• N/A
Specific other reference required, e.g. in case of barter transaction, prepayments, etc. (not self-billing or special margin schemes)	• No
Specific references required in case invoicing is outsourced	• No
Reference to 'cash accounting scheme' in B2B sales in case the IT is due by the supplier upon receipt of the payment/IT is deductible by the customer upon payment	• No
Other specific requirements/references to be mentioned on an invoice	• No

6.5 Simplified invoice

The Supplier is not always obliged to issue a complete invoice. In certain scenarios, they may be able to issue a so-called simplified invoice.

Simplified invoicing	
Possible to issue simplified invoices for certain supplies	No, but the country has a electronic consumption invoice which requires less data than a complete invoice.
Maximum amount for simplified invoices	250.000 RD for the electronic consumption invoice.
Other supplies for which a simplified invoice can be issued	N.a
Simplified invoices limited to certain type of supplies	N.a
Simplified invoices not allowed for certain transactions	N.a
Minimum content requirements on a simplified invoice	No, but the e-consumption invoice will not require the customer/client data as this invoice will not be valid for deduction purposes.
Invoices subject to the national invoice requirements (not self-bills)	No
(other) Invoices subject to the national invoice requirements (not self-bills)	No

Only a subset of the e-consumption receipt (simplified invoice) must be reported to DGII in a separate WS called "resumee of consumption receipt". If the consumption receipt is equal or above to 250.000 DOP, then this e-CF must be fully reported through the standard DGII WS reception invoice system.

In case it is a consumption invoice, DGII will also give an instant response:

- **Accepted:** The format of the receipt resumee meets the established specification requirements
- **Accepted conditionally:** The receipt resumee is accepted but there is a irregularity that must be observed for future cases.
- **Rejected:** The resumee format doesn't meet the established requirements, therefore not received by DGII. Issuer must fix and resend again e-consumption receipt to DGII.

The e-consumption receipt will be exchanged as soon as the issuer gets a positive clearance response.

6.6 Rectification document

Specific references for rectification documents	
Must the word "credit note" be mentioned	• Yes
Reference to original invoice required on a credit note	• Invoice number • Invoice date • Modification code
Clear indication required that the amount mentioned on the credit note is crediting earlier amount (e.g. minus sign '-')	• No
Reason for credit required	• No, but recommended

Sequential numbering	
Separate sequential credit note numbering required	• Yes, each e-CF has its own sequential numbering
Allowed to issue one credit note to correct different invoices	• No

6.7 Optional content

The use of additional information not regulated per valid XML specifications is not allowed. Further, XML may not have any empty tags, any tag that is not going to be used must be excluded from the e-CF, else it will cause a rejection from DGII.

The structure of the mandatory, conditional and optional data can be found in:

- [e-CF format version 1.0 August 2022](#).
- [Technical Description of e-Invoicing](#)

Each document has a tag (label) by which it is recognized, detailed below:

XML Format	Tag
e-CF Format	ECF
Commercial Approval Format	ACECF
Receipt Acknowledgement Format	ARECF
Cancellation of sequences e-NCF Format	ANECF
Format of Resume of Consumption receipt	RFCE



as well as outline whether different requirements apply to B2G invoices. The review is done both from the Supplier's and the Recipient's perspective, as varying rules may apply.

Item	Supplier	Recipient
Whether it is mandatory to ensure I&A in the jurisdiction	• Yes	• Yes
Which methods for ensuring I&A are provisioned for	• E-signature with digital certificate of natural person	• e-CF validation with DGII, which as well validates the applied e-signature and digital certificate
Which requirements apply for I&A methods if ensured by a third-party (outsourcing)	• The taxpayer must appoint the legal representative data in the RNC. • Consent from both parties is necessary	• The taxpayer must appoint the legal representative data in the RNC. • Consent from both parties is necessary

7.1 E-signature

Even where e-signature is not an explicit requirement, Pagero recommends that our customers apply it as, globally, it is the most widely accepted legal means of ensuring I&A for business transactions.

In practical terms, this results in the same evidential position for e-Documents as for paper documents. This unique feature of e-signature provides an exceptional level of legal certainty.

Item	Commentary
E-signature technical requirements	• Natural person certificates • It must follow the requirements incorporated by the Dominican Institute of Telecommunications (INDOTEL), according to General Norm No. 10-21
Automated e-signing	• Allowed
Time-stamping of e-signature	• No explicit Requirements

7.2 E-signature validation

The Recipient of an invoice is often required by law or practice to validate the e-signature on the received invoice. Even for countries where the validation-upon-receipt is not

expressly regulated, this is recommended by Pagero for both trading partners to be able to guarantee I&A.

Item	Commentary
Validation upon receipt	• Optional, but recommended by Pagero
Time-stamping of validation data	• No explicit requirements

8 Document retention

This section describes archiving requirements regarding the eInvoicing process and documents handled by Pagero. Please note, additional archiving requirements may apply to your specific documents.

Item	Commentary
Components to be stored (e.g. tax invoice, source documents, audit trail, I&A proof)	Any type of e-CF. Different types of e-CF can be seen in section 6.1. The XML files shall be preserved as well as all those documents related to the operation.
Requirements to present stored documents in a specific audit format	No explicit requirements
Legibility, i.e. the ability to read stored e-documents by an untrained eye	Required
Legibility requirements	Required.
Retention period for invoices not related to immovable property ⁴	10 years
Start point of retention period calculation for invoices not related to immovable property	Calendar years
Retention period for e- invoices related to immovable property	N/A
Start point of retention period calculation for invoices related to immovable property	N/A
Retention period for other than regular invoices or invoices related to immovable property (if existing):	N/A
Start point of retention period calculation for other than regular invoices or invoices related to immovable property:	N/A
Outsourced archiving	Allowed

⁴ Pagero stores all documents for 90 days due to data privacy and security regulations, after which the data is automatically deleted, unless Archive has been selected. Pagero provides long term archiving (for the legally required term, plus one year)

Archiving abroad ⁵ and conditions, if any (e.g. notification, derogation, online access, mutual tax assistance treaty)	• Allowed
Other requirements in relation to electronic document retention	• N

⁵ In certain situations or jurisdictions deviating requirements – typically regarding archiving abroad – may apply to invoices and related documents, e.g. concerning matters of defence and national security. Therefore, Pagero encourages customers to inquire for and receive an explicit written statement from the local tax authority stating that the archiving of such documents outside of the taxpayer's country is permitted. Pagero in a capacity of a third-party may not apply for derogations or clarifications of this nature on behalf of a taxpayer.



9 Other transactional documents

Along with invoices, countries may have regulations relating to other trading documents. The purpose of this section is to provide a selective (not exhaustive) overview of the regulation of other transaction-related documents of importance.

Document	Commentary
Purchase order	• Not required explicitly
Rectification document	• Yes, read section 6.6 above
Payment instruction	• Not required explicitly
SAF-T (or alike) reporting	• Yes
Transportation documents	• Not required explicitly
Other	• N/A



10 Other requirements

This section highlights certain aspects of the local regulations and infrastructure that differ from Pagero's General invoice processing and our standard country compliance investigation.

10.1 Penalties

Penalties apply from 5 to 30 minimum wages (Minimum wage in 2023 is between USD \$183 and USD \$216).

10.2 Public procurement

Among all the available e-CF's that taxpayers can issue, there is one called Electronic Governmental, which was made specifically to be used when dealing with public entities. All businesses must issue Governmental Electronic Invoices for any operations with public entities. To see all possible e-CFs a taxpayer can issue, see [section 6.1](#)

10.3 Indirect tax reports

All taxpayers must declare and submit the ITBIS return in a monthly basis. The ITBIS return must be declared monthly and paid by the first twenty (20) days of the following month (for declaring and paying the corresponding amounts of January, this will have to be done the first twenty (20) days of February).

The ITBIS return report will have to be presented through the IT-1 Form, which can be done through the following two options:

1. Through the virtual office (OFV)
2. Presential in any local administration.

Besides the IT-1, other supplementary reports will have to be sent to DGII in a monthly basis before declaring and paying the corresponding ITBIS returns, during the first 15 days of the following month:

- **Sending form of purchases of goods and services (606):** This report must be sent by buyers of goods and/or services for ITBIS deduction purposes.
- **Sending form of sales of goods and services (607):** This is the format that all invoice issuers must use to forward the information of the issued invoices to DGII.

- **Sending form of cancelled NCF (608):** This is the format used to report to DGII all the invoice numbers (NCF) that were canceled by the taxpayer.

The supplementary forms (606, 607, 608) will have to be forwarded to DGII even if there are no operations in the corresponding month by the taxpayer.

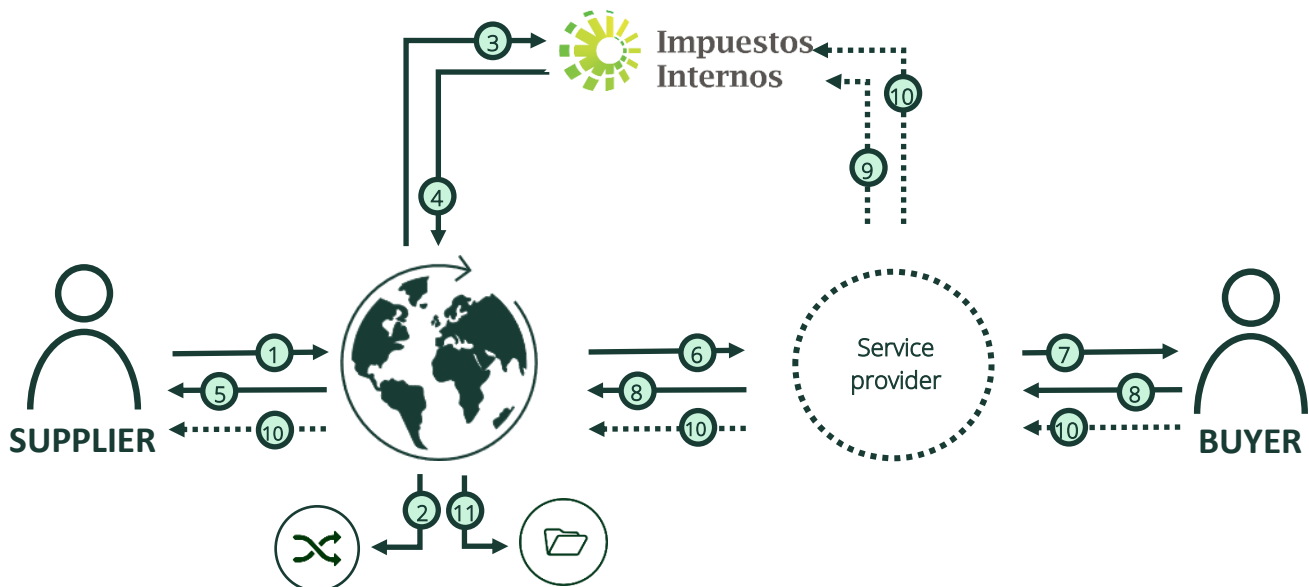
There is no need for electronic issuers to send the 607 and 608 formats, as this information contained in these two formats will be automatically reported to DGII.

Taxpayers belonging to the simplified tax regimes, don't need to submit the monthly format 606, 607 and 608.

11 Country-specific processing

This section outlines how the Pagero General e-Invoicing process has been adapted to the local requirements to ensure compliant local processing.

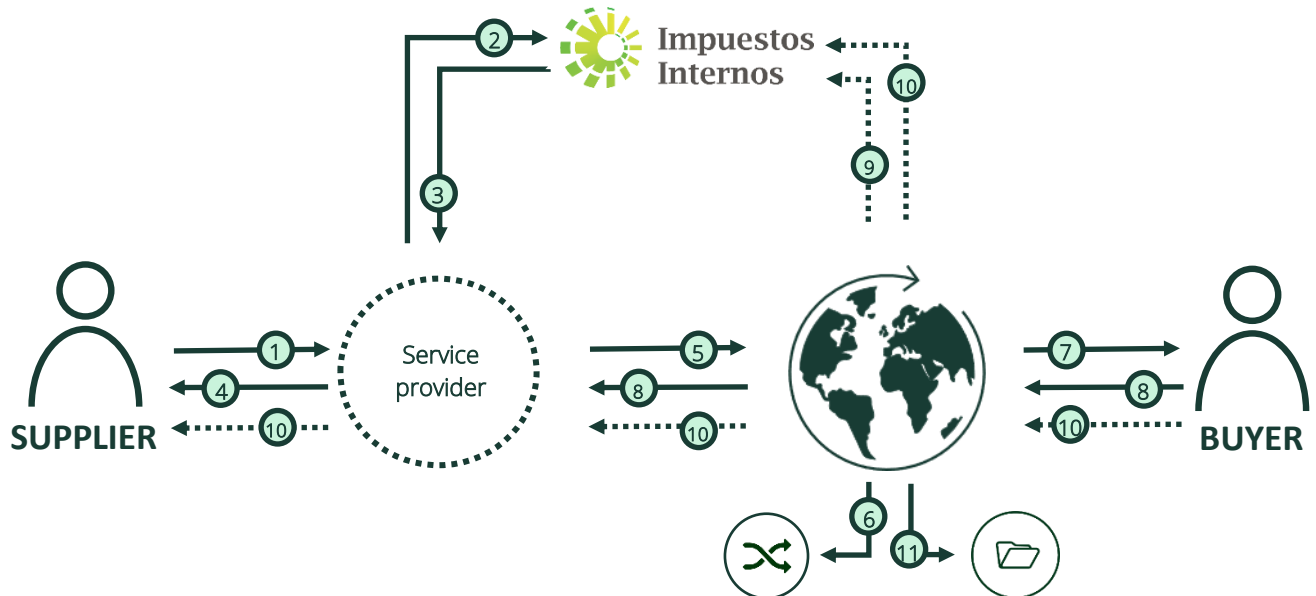
11.1 Document issuance (AR) with Pagero



1. Supplier provides data in supplier preferred format to PAGERO
2. PAGERO performs content validation and enrichment, conversion to the mandatory format, e-signature, etc.
3. PAGERO submits the e-CF to DGII for clearance purposes
4. PAGERO receives a trackID as soon as the e-CF is submitted at DGII
5. PAGERO sends the trackID to supplier for querying clearance response status
6. PAGERO sends the e-CF to the buyer's service provider (RSP).
7. Buyer receives e-CF from RSP
8. Buyer sends acknowledgement receipt notification to SSP/supplier

9. Buyer can optionally validate e-CF with DGII
10. Buyer can optionally send AoR response both supplier and DGII
11. PAGERO archives all relevant e-documents on behalf of supplier

11.2 Document reception (AP) with Pagero



1. Supplier provides data in preferred format to its service provider (SSP).
2. SSP/Supplier submits the e-CF to DGII for clearance purposes.
3. SSP receives trackID from DGII for querying clearance response as soon as e-CF is submitted.
4. SSP sends the trackID to the supplier for querying clearance response status.
5. SSP/Supplier sends the e-CF to PAGERO
6. PAGERO performs data content validation, enrichment and conversion, document format conversion, etc.
7. Buyer receives e-CF from PAGERO in buyer's preferred format.
8. Buyer sends acknowledgment of receipt to SSP/supplier through PAGERO
9. Buyer can optionally validate e-CF with DGII
10. Buyer can optionally send AoR response both DGII and supplier
11. PAGERO archives all relevant documents on behalf of the buyer



12. Closing statements

12.1 Confidentiality

This General invoice processing description of Pagero Online, our Country Compliance Reports, and other documents provided by Pagero are of confidential nature and are only intended for and may only be used by Pagero's Customers, their employees or other authorized recipients for the purpose or purposes specified and agreed to between the parties. Descriptions, reports, and documentation may not – neither in full nor in parts – be copied or otherwise distributed to third parties without Pagero's prior written consent.

12.2 Disclaimer

In order to establish a relationship based on trust and transparency with our Customers, Pagero provides its General e-Invoice and eArchiving processing descriptions of Pagero Online as well as Pagero's Country Compliance Reports. These documents are intended to enable our Customers and their tax advisors to assess how Pagero has interpreted the relevant legislation and implemented it in our processes in order to support our Customers to fulfil their legal obligations.

We would like to remind our Customers that, according to tax and accounting regulations, the outsourcing of any process to third parties (such as issuance, compiling, processing, receipt, or archiving of e-Invoices), will not lead to a shift of liability, the liability will remain with the Customer. Accordingly, the taxable person always remains responsible towards the local authorities for ensuring their e-Invoice compliance, and for fulfilling accounting and reporting requirements. We want to emphasise this, in the light of that there can be potentially conflicting regulations on regional, national, or international levels.

Pagero endeavours to only include and provide accurate and up to date information. However, Pagero makes no guarantees as to the accuracy of any statement, information or advice provided by Pagero, whether in writing or verbally. The Customer must make an informed decision about whether to adhere to and follow such recommendations or not. The final decision and responsibility regarding tax, accounting, and reporting issues rest with the Customer.



Revision history

Date	What has changed
15 October 2022	Document created
31 May 2023	Updated section 3, section 5.3.1, section 5.5
9 August 2023	Section 10.1 added penalties